

ECONOMICS

Complete Coursebook

80-page learning book • English explanations

MICROECONOMICS • MACROECONOMICS • TRADE • DEVELOPMENT

Designed for upper-secondary / Terminale-style study

- Clear explanations and key definitions
- Worked examples and economic reasoning
- Practice questions on every lesson
- Revision, glossary and exam-writing guidance

A structured introduction to economic thinking, policy and development.

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Introduction to Economics

LEARNING FOCUS

What economics studies: scarcity, choice, resources and human wants.

Key concepts

Scarcity and choice

Needs versus wants

Resources and constraints

Positive and normative economics

Core explanation

- Economics begins with scarcity: available resources are limited while human wants are numerous.
- Every choice has an opportunity cost because selecting one option means giving up another.
- Microeconomics studies individual consumers, firms and markets; macroeconomics studies the economy as a whole.
- Positive statements can be tested with evidence; normative statements express values or judgments.

KEY TAKEAWAY

Economics begins with scarcity: available resources are limited while human wants are numerous. Positive statements can be tested with evidence; normative statements express values or judgments.

Application, Practice & Review

WORKED / APPLIED EXAMPLE

A student has 20,000 Ar and must choose between a textbook and mobile data. The value of the best alternative not chosen is the opportunity cost.

Method: identify the concept → state the mechanism → apply it to the example → conclude.

Practice questions

1. Define scarcity in one sentence.

2. Give one personal example of opportunity cost.

3. Classify a statement as positive or normative.

EXAM SKILL

Definition: begin with a precise economic meaning.

Use diagrams and formulas only when they improve the explanation; always label them clearly.

Factors of Production

LEARNING FOCUS

How land, labour, capital and enterprise combine to produce goods and services.

Key concepts

Land

Labour

Capital

Enterprise

Core explanation

- Land includes natural resources such as soil, water, forests and minerals.
- Labour is human effort used in production, including physical and mental work.
- Capital means produced resources used to make other goods and services, such as machines and buildings.
- Enterprise organizes the other factors, takes risks and searches for opportunities.

KEY TAKEAWAY

Land includes natural resources such as soil, water, forests and minerals. Enterprise organizes the other factors, takes risks and searches for opportunities.

Application, Practice & Review

WORKED / APPLIED EXAMPLE

A rice-processing business may use farmland and water (land), workers (labour), milling machines (capital), and an entrepreneur who coordinates the activity.

Method: identify the concept → state the mechanism → apply it to the example → conclude.

Practice questions

1. Identify the four factors of production.

2. Explain why money itself is not normally counted as capital in production theory.

3. Give one example of enterprise.

EXAM SKILL

Application: use the situation, data or country context in the question.

Use diagrams and formulas only when they improve the explanation; always label them clearly.

Production Possibility Frontier

LEARNING FOCUS

Using the PPF to show scarcity, efficiency, trade-offs and economic growth.

Key concepts

Efficient points

Unattainable points

Opportunity cost

Shifts of the PPF

Core explanation

- A production possibility frontier shows the maximum combinations of two outputs that can be produced with current resources and technology.
- Points on the frontier are efficient; points inside indicate unused or misallocated resources.
- A point beyond the current frontier is unattainable with present productive capacity.
- Economic growth can shift the frontier outward through better technology, more capital or a larger skilled workforce.

KEY TAKEAWAY

A production possibility frontier shows the maximum combinations of two outputs that can be produced with current resources and technology. Economic growth can shift the frontier outward through better technology, more capital or a larger skilled workforce.

Application, Practice & Review

WORKED / APPLIED EXAMPLE

If a country can produce either 100 units of food or 50 units of clothing, moving toward more clothing usually requires giving up some food.

Method: identify the concept → state the mechanism → apply it to the example → conclude.

Practice questions

1. What does a point inside a PPF show?

2. Name two causes of an outward PPF shift.

3. Explain increasing opportunity cost.

EXAM SKILL

Analysis: explain the chain of cause and effect using economic logic.

Use diagrams and formulas only when they improve the explanation; always label them clearly.

Economic Systems

LEARNING FOCUS

Comparing market, command and mixed economic systems.

Key concepts

Market system

Command system

Mixed economy

Role of incentives

Core explanation

- In a market system, many decisions are guided by prices, private ownership and voluntary exchange.
- In a command system, the state makes many decisions about production and allocation.
- Most real economies are mixed, combining markets with public services, regulation and redistribution.
- Institutions, property rights and incentives strongly influence how resources are used.

KEY TAKEAWAY

In a market system, many decisions are guided by prices, private ownership and voluntary exchange. Institutions, property rights and incentives strongly influence how resources are used.

Application, Practice & Review

WORKED / APPLIED EXAMPLE

A mixed economy may allow private shops and factories while government provides schools, roads and public health services.

Method: identify the concept → state the mechanism → apply it to the example → conclude.

Practice questions

1. Compare market and command systems.

2. Why are modern economies usually mixed?

3. Give one advantage and one limitation of market allocation.

EXAM SKILL

Evaluation: discuss conditions, trade-offs, time horizons or different affected groups.

Use diagrams and formulas only when they improve the explanation; always label them clearly.

Demand

LEARNING FOCUS

Understanding the law of demand and the factors that shift demand.

Key concepts

Demand schedule

Demand curve

Movement vs shift

Determinants of demand

Core explanation

- Demand is the quantity consumers are willing and able to buy at different prices over a given period.
- The law of demand states that, other things equal, quantity demanded usually falls when price rises.
- A change in the good's own price causes movement along the demand curve.
- Income, tastes, population, expectations and prices of related goods can shift demand.

KEY TAKEAWAY

Demand is the quantity consumers are willing and able to buy at different prices over a given period. Income, tastes, population, expectations and prices of related goods can shift demand.

Application, Practice & Review

WORKED / APPLIED EXAMPLE

If the price of bus tickets stays the same but household incomes rise, demand for certain transport services may increase depending on whether they are normal goods.

Method: identify the concept → state the mechanism → apply it to the example → conclude.

Practice questions

1. State the law of demand.

2. List four demand shifters.

3. Explain the difference between movement and shift.

EXAM SKILL

Definition: begin with a precise economic meaning.

Use diagrams and formulas only when they improve the explanation; always label them clearly.

Supply

LEARNING FOCUS

Understanding the law of supply and the factors that shift supply.

Key concepts

Supply schedule

Supply curve

Costs of production

Technology and taxes

Core explanation

- Supply is the quantity producers are willing and able to sell at different prices over a given period.
- The law of supply states that quantity supplied usually rises as price rises, other things equal.
- A change in the product's own price causes movement along the supply curve.
- Input costs, technology, taxes, subsidies, expectations and the number of firms can shift supply.

KEY TAKEAWAY

Supply is the quantity producers are willing and able to sell at different prices over a given period. Input costs, technology, taxes, subsidies, expectations and the number of firms can shift supply.

Application, Practice & Review

WORKED / APPLIED EXAMPLE

A fall in fuel prices can lower transport costs for firms and shift the supply of delivered goods to the right.

Method: identify the concept → state the mechanism → apply it to the example → conclude.

Practice questions

1. State the law of supply.

2. Name four supply shifters.

3. Explain how a subsidy may affect supply.

EXAM SKILL

Application: use the situation, data or country context in the question.

Use diagrams and formulas only when they improve the explanation; always label them clearly.

Market Equilibrium

LEARNING FOCUS

How demand and supply interact to determine equilibrium price and quantity.

Key concepts

Equilibrium

Shortage

Surplus

Price adjustment

Core explanation

- Market equilibrium occurs where quantity demanded equals quantity supplied.
- A price below equilibrium tends to create a shortage because consumers want more than firms offer.
- A price above equilibrium tends to create a surplus because firms offer more than consumers buy.
- Price signals encourage buyers and sellers to adjust their behaviour.

KEY TAKEAWAY

Market equilibrium occurs where quantity demanded equals quantity supplied. Price signals encourage buyers and sellers to adjust their behaviour.

Application, Practice & Review

WORKED / APPLIED EXAMPLE

If demand for tomatoes rises while supply is unchanged, equilibrium price and equilibrium quantity will usually increase.

Method: identify the concept → state the mechanism → apply it to the example → conclude.

Practice questions

1. Define equilibrium.

2. What causes a shortage?

3. Predict the effect of higher demand on equilibrium.

EXAM SKILL

Analysis: explain the chain of cause and effect using economic logic.

Use diagrams and formulas only when they improve the explanation; always label them clearly.

Price Elasticity of Demand

LEARNING FOCUS

Measuring how responsive quantity demanded is to a change in price.

Key concepts

Elastic demand

Inelastic demand

PED formula

Determinants

Core explanation

- Price elasticity of demand (PED) measures the percentage change in quantity demanded divided by the percentage change in price.
- Demand is elastic when quantity responds proportionally more than price; it is inelastic when it responds less.
- Availability of substitutes, necessity, time and share of income affect elasticity.
- Elasticity helps firms and governments anticipate effects on revenue and tax receipts.

ELASTICITY

$$PED = \% \Delta Q_d / \% \Delta P$$

Use absolute value when classifying demand as elastic or inelastic.

KEY TAKEAWAY

Price elasticity of demand (PED) measures the percentage change in quantity demanded divided by the percentage change in price. Elasticity helps firms and governments anticipate effects on revenue and tax receipts.

Application, Practice & Review

WORKED / APPLIED EXAMPLE

If price rises by 10% and quantity demanded falls by 20%, PED is -2.0; in absolute value demand is elastic.

Method: identify the concept → state the mechanism → apply it to the example → conclude.

Practice questions

1. Write the PED formula.

2. Why is salt often price inelastic?

3. Calculate PED if price rises 5% and quantity falls 15%.

EXAM SKILL

Evaluation: discuss conditions, trade-offs, time horizons or different affected groups.

Use diagrams and formulas only when they improve the explanation; always label them clearly.

Other Elasticities

LEARNING FOCUS

Income elasticity and cross elasticity as tools for analysing consumer behaviour.

Key concepts

Income elasticity

Normal goods

Inferior goods

Cross elasticity

Core explanation

- Income elasticity of demand measures responsiveness of demand to changes in consumer income.
- Normal goods have positive income elasticity; inferior goods have negative income elasticity.
- Cross elasticity measures how demand for one good responds to a price change in another.
- Positive cross elasticity often indicates substitutes; negative cross elasticity often indicates complements.

KEY TAKEAWAY

Income elasticity of demand measures responsiveness of demand to changes in consumer income. Positive cross elasticity often indicates substitutes; negative cross elasticity often indicates complements.

Application, Practice & Review

WORKED / APPLIED EXAMPLE

If the price of tea rises and demand for coffee increases, tea and coffee may be substitutes.

Method: identify the concept → state the mechanism → apply it to the example → conclude.

Practice questions

1. Define income elasticity.

2. What sign suggests complementary goods?

3. Give one possible inferior good example.

EXAM SKILL

Definition: begin with a precise economic meaning.

Use diagrams and formulas only when they improve the explanation; always label them clearly.

Production and Productivity

LEARNING FOCUS

How firms transform inputs into outputs and improve productivity.

Key concepts

Production function

Total product

Average product

Marginal product

Core explanation

- A production function links quantities of inputs to the maximum output obtainable with given technology.
- Productivity measures output per unit of input, such as output per worker-hour.
- Marginal product is the change in total output from one additional unit of an input.
- Training, better equipment, improved management and technology can raise productivity.

KEY TAKEAWAY

A production function links quantities of inputs to the maximum output obtainable with given technology. Training, better equipment, improved management and technology can raise productivity.

Application, Practice & Review

WORKED / APPLIED EXAMPLE

If 10 workers produce 500 units per day, labour productivity is 50 units per worker per day.

Method: identify the concept → state the mechanism → apply it to the example → conclude.

Practice questions

1. Define productivity.

2. Calculate productivity for 800 units with 20 workers.

3. Name three ways to raise productivity.

EXAM SKILL

Application: use the situation, data or country context in the question.

Use diagrams and formulas only when they improve the explanation; always label them clearly.

Costs of Production

LEARNING FOCUS

Fixed, variable, average and marginal costs in short-run decision making.

Key concepts

Fixed costs

Variable costs

Total cost

Marginal cost

Core explanation

- Fixed costs do not vary with output in the short run, such as rent on a factory building.
- Variable costs change with output, such as raw materials and hourly labour.
- Total cost equals fixed cost plus variable cost.
- Marginal cost is the extra cost of producing one more unit and is important for output decisions.

COST

$$TC = FC + VC$$

Average and marginal costs help explain firm output decisions.

KEY TAKEAWAY

Fixed costs do not vary with output in the short run, such as rent on a factory building. Marginal cost is the extra cost of producing one more unit and is important for output decisions.

Application, Practice & Review

WORKED / APPLIED EXAMPLE

If fixed cost is 1,000 and variable cost is 2,500, total cost is 3,500. If one extra unit raises total cost to 3,540, marginal cost is 40.

Method: identify the concept → state the mechanism → apply it to the example → conclude.

Practice questions

1. Write the total cost formula.

2. Give two fixed-cost examples.

3. Explain marginal cost.

EXAM SKILL

Analysis: explain the chain of cause and effect using economic logic.

Use diagrams and formulas only when they improve the explanation; always label them clearly.

Revenue, Profit and Break-even

LEARNING FOCUS

How firms measure revenue, costs and profitability.

Key concepts

Total revenue

Average revenue

Profit

Break-even point

Core explanation

- Total revenue equals price multiplied by quantity sold.
- Profit equals total revenue minus total cost.
- A firm breaks even when total revenue equals total cost.
- Profit is an accounting and economic signal that can encourage entry, expansion or reallocation of resources.

PROFIT

Profit = TR - TC

TR = Price × Quantity sold.

KEY TAKEAWAY

Total revenue equals price multiplied by quantity sold. Profit is an accounting and economic signal that can encourage entry, expansion or reallocation of resources.

Application, Practice & Review

WORKED / APPLIED EXAMPLE

A firm sells 200 units at 50 each, earning revenue of 10,000. If total cost is 8,200, profit is 1,800.

Method: identify the concept → state the mechanism → apply it to the example → conclude.

Practice questions

1. Write the profit formula.

2. Calculate revenue from 300 units sold at 25.

3. What does break-even mean?

EXAM SKILL

Evaluation: discuss conditions, trade-offs, time horizons or different affected groups.

Use diagrams and formulas only when they improve the explanation; always label them clearly.

Perfect Competition

LEARNING FOCUS

A model of markets with many firms and strong competitive pressure.

Key concepts

Many buyers and sellers

Homogeneous product

Free entry and exit

Price taking

Core explanation

- Perfect competition is a benchmark model with many small firms, identical products, strong information and low barriers to entry.
- Individual firms are price takers because no single firm can significantly influence the market price.
- In long-run equilibrium, entry and exit can reduce persistent economic profit.
- The model is useful for comparison even though real markets rarely satisfy every assumption.

KEY TAKEAWAY

Perfect competition is a benchmark model with many small firms, identical products, strong information and low barriers to entry. The model is useful for comparison even though real markets rarely satisfy every assumption.

Application, Practice & Review

WORKED / APPLIED EXAMPLE

Some agricultural commodity markets can approximate parts of the competitive model when many producers sell similar products.

Method: identify the concept → state the mechanism → apply it to the example → conclude.

Practice questions

1. List four assumptions of perfect competition.

2. Why is the firm a price taker?

3. What may happen when firms earn high profit?

EXAM SKILL

Definition: begin with a precise economic meaning.

Use diagrams and formulas only when they improve the explanation; always label them clearly.

Monopoly and Market Power

LEARNING FOCUS

How a dominant firm can influence price and output.

Key concepts

Barriers to entry

Market power

Natural monopoly

Regulation

Core explanation

- A monopoly is a market with one dominant seller and significant barriers to entry.
- Barriers may come from patents, control of key resources, economies of scale or legal restrictions.
- A natural monopoly can arise when one large provider can supply the market at lower cost than many small firms.
- Regulation may focus on prices, service quality, competition and consumer protection.

KEY TAKEAWAY

A monopoly is a market with one dominant seller and significant barriers to entry. Regulation may focus on prices, service quality, competition and consumer protection.

Application, Practice & Review

WORKED / APPLIED EXAMPLE

Electricity distribution networks can have natural-monopoly features because duplicating the entire network may be costly.

Method: identify the concept → state the mechanism → apply it to the example → conclude.

Practice questions

1. Define market power.

2. Give two barriers to entry.

3. Why might a natural monopoly be regulated?

EXAM SKILL

Application: use the situation, data or country context in the question.

Use diagrams and formulas only when they improve the explanation; always label them clearly.

Monopolistic Competition and Oligopoly

LEARNING FOCUS

Understanding differentiated products and strategic interaction among firms.

Key concepts

Product differentiation

Branding

Few large firms

Interdependence

Core explanation

- Monopolistic competition has many firms selling differentiated products.
- Oligopoly has a small number of large firms whose decisions are interdependent.
- Branding, advertising and customer service can create differentiation.
- Oligopoly analysis often considers strategic behaviour, including pricing, capacity, innovation and possible collusion.

KEY TAKEAWAY

Monopolistic competition has many firms selling differentiated products. Oligopoly analysis often considers strategic behaviour, including pricing, capacity, innovation and possible collusion.

Application, Practice & Review

WORKED / APPLIED EXAMPLE

Mobile telecommunications can display oligopolistic features where a few major providers watch and react to each other's decisions.

Method: identify the concept → state the mechanism → apply it to the example → conclude.

Practice questions

1. Compare monopolistic competition and oligopoly.

2. What is interdependence?

3. Give one example of product differentiation.

EXAM SKILL

Analysis: explain the chain of cause and effect using economic logic.

Use diagrams and formulas only when they improve the explanation; always label them clearly.

Market Failure and Externalities

LEARNING FOCUS

Why unregulated markets may produce inefficient outcomes.

Key concepts

External costs

External benefits

Social cost

Corrective policies

Core explanation

- An externality occurs when an activity affects third parties who are not fully represented in the market transaction.
- Pollution is a common negative externality; vaccination can create positive external benefits.
- Social cost includes private cost plus external cost.
- Taxes, subsidies, standards, permits and information can be used to address externalities.

KEY TAKEAWAY

An externality occurs when an activity affects third parties who are not fully represented in the market transaction. Taxes, subsidies, standards, permits and information can be used to address externalities.

Application, Practice & Review

WORKED / APPLIED EXAMPLE

A factory that pollutes a river may impose costs on downstream communities that are not included in the factory's private production cost.

Method: identify the concept → state the mechanism → apply it to the example → conclude.

Practice questions

1. Define externality.

2. Give one positive and one negative example.

3. Name three possible policy responses.

EXAM SKILL

Evaluation: discuss conditions, trade-offs, time horizons or different affected groups.

Use diagrams and formulas only when they improve the explanation; always label them clearly.

Labour Markets

LEARNING FOCUS

How wages, employment and skills are determined in labour markets.

Key concepts

Labour demand

Labour supply

Human capital

Minimum wage

Core explanation

- Firms demand labour because workers help produce goods and services.
- Workers supply labour in exchange for wages and other benefits.
- Education, training and experience build human capital and can affect productivity and earnings.
- Labour-market policies include minimum wages, training, employment protection and social insurance.

KEY TAKEAWAY

Firms demand labour because workers help produce goods and services. Labour-market policies include minimum wages, training, employment protection and social insurance.

Application, Practice & Review

WORKED / APPLIED EXAMPLE

If demand for nurses rises faster than supply, wages and recruitment incentives may increase, other things equal.

Method: identify the concept → state the mechanism → apply it to the example → conclude.

Practice questions

1. What is derived demand for labour?

2. Define human capital.

3. State one possible effect of a binding minimum wage.

EXAM SKILL

Definition: begin with a precise economic meaning.

Use diagrams and formulas only when they improve the explanation; always label them clearly.

Income Distribution and Poverty

LEARNING FOCUS

Measuring inequality and understanding causes and policy responses.

Key concepts

Income vs wealth

Lorenz curve

Gini coefficient

Absolute and relative poverty

Core explanation

- Income is a flow received over time; wealth is a stock of assets minus liabilities.
- The Lorenz curve shows the cumulative distribution of income or wealth.
- The Gini coefficient summarizes inequality on a scale from greater equality toward greater inequality.
- Poverty can be measured using absolute thresholds, relative measures or multidimensional indicators.

KEY TAKEAWAY

Income is a flow received over time; wealth is a stock of assets minus liabilities. Poverty can be measured using absolute thresholds, relative measures or multidimensional indicators.

Application, Practice & Review

WORKED / APPLIED EXAMPLE

Policies that affect education, employment, taxation, transfers and access to services can influence poverty and inequality.

Method: identify the concept → state the mechanism → apply it to the example → conclude.

Practice questions

1. Distinguish income from wealth.

2. What does the Lorenz curve show?

3. Name two anti-poverty policies.

EXAM SKILL

Application: use the situation, data or country context in the question.

Use diagrams and formulas only when they improve the explanation; always label them clearly.

Introduction to Macroeconomics

LEARNING FOCUS

Key goals and indicators used to analyse the whole economy.

Key concepts

Output

Employment

Price stability

External balance

Core explanation

- Macroeconomics studies aggregate output, employment, inflation, public finances and international transactions.
- Governments often pursue goals such as sustainable growth, low unemployment, price stability and external stability.
- These goals can conflict in the short run, so policy involves trade-offs.
- Macroeconomic analysis combines data, models and institutional understanding.

KEY TAKEAWAY

Macroeconomics studies aggregate output, employment, inflation, public finances and international transactions. Macroeconomic analysis combines data, models and institutional understanding.

Application, Practice & Review

WORKED / APPLIED EXAMPLE

A rapid expansion may reduce unemployment but can create inflationary pressure if demand grows faster than productive capacity.

Method: identify the concept → state the mechanism → apply it to the example → conclude.

Practice questions

1. List four macroeconomic goals.

2. Explain one possible policy trade-off.

3. What does aggregate mean?

EXAM SKILL

Analysis: explain the chain of cause and effect using economic logic.

Use diagrams and formulas only when they improve the explanation; always label them clearly.

National Income and GDP

LEARNING FOCUS

Measuring economic activity through output, income and expenditure.

Key concepts

GDP

Nominal vs real

GDP per capita

Limitations of GDP

Core explanation

- Gross domestic product measures the market value of final goods and services produced within a country during a period.
- Nominal GDP uses current prices; real GDP adjusts for price changes.
- GDP per capita divides GDP by population and is often used as a rough average-income indicator.
- GDP does not fully measure unpaid work, environmental quality, inequality or overall well-being.

GDP

$$\text{GDP} = \text{C} + \text{I} + \text{G} + (\text{X} - \text{M})$$

Expenditure approach: consumption, investment, government spending and net exports.

KEY TAKEAWAY

Gross domestic product measures the market value of final goods and services produced within a country during a period. GDP does not fully measure unpaid work, environmental quality, inequality or overall well-being.

Application, Practice & Review

WORKED / APPLIED EXAMPLE

If nominal GDP rises only because prices rise, real GDP may show little or no growth in actual output.

Method: identify the concept → state the mechanism → apply it to the example → conclude.

Practice questions

1. Define GDP.

2. Distinguish nominal and real GDP.

3. Give three limitations of GDP.

EXAM SKILL

Evaluation: discuss conditions, trade-offs, time horizons or different affected groups.

Use diagrams and formulas only when they improve the explanation; always label them clearly.

Economic Growth

LEARNING FOCUS

Sources, benefits and costs of long-run growth.

Key concepts

Potential output

Productivity

Capital formation

Sustainable growth

Core explanation

- Economic growth is a sustained increase in real output, often measured by real GDP growth.
- Long-run growth depends on productivity, skills, investment, infrastructure, institutions and technology.
- Growth can raise incomes and tax capacity but may also increase environmental pressure if unmanaged.
- Sustainable growth seeks to expand well-being while protecting future productive capacity and ecosystems.

KEY TAKEAWAY

Economic growth is a sustained increase in real output, often measured by real GDP growth. Sustainable growth seeks to expand well-being while protecting future productive capacity and ecosystems.

Application, Practice & Review

WORKED / APPLIED EXAMPLE

Investment in reliable electricity, transport and education can raise productivity and expand productive capacity.

Method: identify the concept → state the mechanism → apply it to the example → conclude.

Practice questions

1. Name four drivers of long-run growth.

2. What is potential output?

3. Explain why growth may create environmental challenges.

EXAM SKILL

Definition: begin with a precise economic meaning.

Use diagrams and formulas only when they improve the explanation; always label them clearly.

Unemployment

LEARNING FOCUS

Types, measurement and consequences of unemployment.

Key concepts

Frictional

Structural

Cyclical

Seasonal

Core explanation

- Unemployment usually refers to people without work who are available for and seeking employment, according to a defined survey standard.
- Frictional unemployment arises during job search; structural unemployment comes from skill or location mismatches.
- Cyclical unemployment rises when aggregate demand is weak.
- High unemployment reduces income, skills and tax revenue while increasing social costs.

KEY TAKEAWAY

Unemployment usually refers to people without work who are available for and seeking employment, according to a defined survey standard. High unemployment reduces income, skills and tax revenue while increasing social costs.

Application, Practice & Review

WORKED / APPLIED EXAMPLE

A tourism worker without work during the off-season may face seasonal unemployment, while a displaced worker needing new digital skills may face structural unemployment.

Method: identify the concept → state the mechanism → apply it to the example → conclude.

Practice questions

1. Name four types of unemployment.

2. Explain structural unemployment.

3. Give two costs of high unemployment.

EXAM SKILL

Application: use the situation, data or country context in the question.

Use diagrams and formulas only when they improve the explanation; always label them clearly.

Inflation and Deflation

LEARNING FOCUS

Causes, measurement and effects of changes in the general price level.

Key concepts

Consumer price index

Demand-pull

Cost-push

Deflation

Core explanation

- Inflation is a sustained rise in the general price level, reducing purchasing power of money.
- Demand-pull inflation can occur when aggregate demand grows faster than productive capacity.
- Cost-push inflation can result from higher production costs such as energy, wages or imported inputs.
- Deflation is a sustained fall in the general price level and can increase the real burden of debt.

KEY TAKEAWAY

Inflation is a sustained rise in the general price level, reducing purchasing power of money. Deflation is a sustained fall in the general price level and can increase the real burden of debt.

Application, Practice & Review

WORKED / APPLIED EXAMPLE

If fuel prices rise sharply, transport and production costs may increase across many sectors, contributing to cost-push inflation.

Method: identify the concept → state the mechanism → apply it to the example → conclude.

Practice questions

1. Define inflation.

2. Compare demand-pull and cost-push inflation.

3. Why can deflation be harmful?

EXAM SKILL

Analysis: explain the chain of cause and effect using economic logic.

Use diagrams and formulas only when they improve the explanation; always label them clearly.

Aggregate Demand and Aggregate Supply

LEARNING FOCUS

A framework for analysing output, employment and the price level.

Key concepts

AD components

Short-run AS

Long-run capacity

Demand and supply shocks

Core explanation

- Aggregate demand is total planned spending on domestic output: consumption, investment, government spending and net exports.
- Short-run aggregate supply reflects firms' willingness to produce at different price levels under current capacity and costs.
- Long-run productive capacity depends on resources, institutions, technology and productivity.
- Shocks can move output and prices in different directions depending on whether they affect demand or supply.

AGGREGATE DEMAND

$$AD = C + I + G + (X - M)$$

A change in any component can shift aggregate demand.

KEY TAKEAWAY

Aggregate demand is total planned spending on domestic output: consumption, investment, government spending and net exports. Shocks can move output and prices in different directions depending on whether they affect demand or supply.

Application, Practice & Review

WORKED / APPLIED EXAMPLE

A fall in business confidence may reduce investment and shift aggregate demand left, lowering output and inflationary pressure.

Method: identify the concept → state the mechanism → apply it to the example → conclude.

Practice questions

1. Write the components of AD.

2. Give one demand shock and one supply shock.

3. What determines long-run productive capacity?

EXAM SKILL

Evaluation: discuss conditions, trade-offs, time horizons or different affected groups.

Use diagrams and formulas only when they improve the explanation; always label them clearly.

Money

LEARNING FOCUS

Functions, forms and the role of money in an economy.

Key concepts

Medium of exchange

Unit of account

Store of value

Liquidity

Core explanation

- Money serves as a medium of exchange, unit of account and store of value.
- Modern money includes notes, coins and bank deposits, with electronic payments increasingly important.
- Liquidity describes how easily an asset can be used for payment without significant loss of value.
- Stable money supports contracts, accounting and exchange.

KEY TAKEAWAY

Money serves as a medium of exchange, unit of account and store of value. Stable money supports contracts, accounting and exchange.

Application, Practice & Review

WORKED / APPLIED EXAMPLE

A bank deposit is highly liquid because it can usually be transferred or used for payment quickly.

Method: identify the concept → state the mechanism → apply it to the example → conclude.

Practice questions

1. List the three classic functions of money.

2. Define liquidity.

3. Why does high inflation weaken money as a store of value?

EXAM SKILL

Definition: begin with a precise economic meaning.

Use diagrams and formulas only when they improve the explanation; always label them clearly.

Central Banking and Monetary Policy

LEARNING FOCUS

How central banks influence interest rates, liquidity and inflation.

Key concepts

Policy interest rate

Open-market operations

Reserve requirements

Transmission mechanism

Core explanation

- A central bank typically manages monetary conditions, supports payment-system stability and may have a price-stability mandate.
- Monetary policy can influence market interest rates, credit conditions, spending and inflation.
- Policy changes work with lags and their effects depend on financial institutions and expectations.
- During stress, central banks may also provide liquidity to the banking system under defined rules.

KEY TAKEAWAY

A central bank typically manages monetary conditions, supports payment-system stability and may have a price-stability mandate. During stress, central banks may also provide liquidity to the banking system under defined rules.

Application, Practice & Review

WORKED / APPLIED EXAMPLE

If a central bank raises its policy rate, borrowing may become more expensive, slowing interest-sensitive spending and reducing inflationary pressure over time.

Method: identify the concept → state the mechanism → apply it to the example → conclude.

Practice questions

1. Name three monetary-policy tools.

2. Explain the transmission mechanism in simple terms.

3. Why do policy effects take time?

EXAM SKILL

Application: use the situation, data or country context in the question.

Use diagrams and formulas only when they improve the explanation; always label them clearly.

Fiscal Policy

LEARNING FOCUS

Government spending and taxation as tools for stabilization and public services.

Key concepts

Government expenditure

Taxation

Budget deficit

Automatic stabilizers

Core explanation

- Fiscal policy changes government spending, taxation and transfers to influence economic activity and public objectives.
- Expansionary fiscal policy can support demand during a downturn, while contractionary policy can reduce demand pressures.
- Automatic stabilizers such as progressive taxes and unemployment benefits change automatically with the economy.
- Fiscal choices also affect public debt and future budget flexibility.

BUDGET

Budget balance = Revenue - Expenditure

Negative balance indicates a deficit; positive balance indicates a surplus.

KEY TAKEAWAY

Fiscal policy changes government spending, taxation and transfers to influence economic activity and public objectives. Fiscal choices also affect public debt and future budget flexibility.

Application, Practice & Review

WORKED / APPLIED EXAMPLE

During a recession, lower tax receipts and higher benefit payments may increase the budget deficit even without a new law.

Method: identify the concept → state the mechanism → apply it to the example → conclude.

Practice questions

1. Define fiscal policy.

2. What is an automatic stabilizer?

3. Give one risk of persistent large deficits.

EXAM SKILL

Analysis: explain the chain of cause and effect using economic logic.

Use diagrams and formulas only when they improve the explanation; always label them clearly.

Public Expenditure and Public Debt

LEARNING FOCUS

Why governments spend, borrow and manage debt.

Key concepts

Public services

Capital spending

Current spending

Debt sustainability

Core explanation

- Public expenditure finances services such as education, health, administration, infrastructure and social protection.
- Capital spending creates or improves long-lived assets; current spending supports ongoing operations and services.
- Governments borrow when expenditure exceeds revenue, creating public debt.
- Debt sustainability depends on interest costs, growth, revenue capacity, maturity and fiscal credibility.

KEY TAKEAWAY

Public expenditure finances services such as education, health, administration, infrastructure and social protection. Debt sustainability depends on interest costs, growth, revenue capacity, maturity and fiscal credibility.

Application, Practice & Review

WORKED / APPLIED EXAMPLE

Borrowing to build productive infrastructure may support future growth, but debt still requires careful management and transparent project selection.

Method: identify the concept → state the mechanism → apply it to the example → conclude.

Practice questions

1. Compare current and capital spending.

2. Why do governments borrow?

3. Name two factors affecting debt sustainability.

EXAM SKILL

Evaluation: discuss conditions, trade-offs, time horizons or different affected groups.

Use diagrams and formulas only when they improve the explanation; always label them clearly.

International Trade

LEARNING FOCUS

Why countries trade and how specialization can raise total output.

Key concepts

Absolute advantage

Comparative advantage

Specialization

Terms of trade

Core explanation

- International trade allows countries to exchange goods, services and resources across borders.
- Comparative advantage explains gains from specialization based on relative opportunity costs, even when one country is more productive in many activities.
- Trade can expand choice and scale but also creates adjustment costs for affected workers and industries.
- The terms of trade compare export prices with import prices.

TRADE

Opportunity cost = units forgone / units gained

Comparative advantage is based on lower opportunity cost.

KEY TAKEAWAY

International trade allows countries to exchange goods, services and resources across borders. The terms of trade compare export prices with import prices.

Application, Practice & Review

WORKED / APPLIED EXAMPLE

A country may specialize more in products it can produce at lower opportunity cost and trade for other products.

Method: identify the concept → state the mechanism → apply it to the example → conclude.

Practice questions

1. Define comparative advantage.

2. Why can both sides gain from trade?

3. What are terms of trade?

EXAM SKILL

Definition: begin with a precise economic meaning.

Use diagrams and formulas only when they improve the explanation; always label them clearly.

Exchange Rates

LEARNING FOCUS

How currency values are determined and how they affect trade and inflation.

Key concepts

Appreciation

Depreciation

Floating rate

Fixed rate

Core explanation

- An exchange rate is the price of one currency in terms of another.
- Appreciation means a currency becomes more valuable; depreciation means it becomes less valuable.
- Exchange rates can be market-determined, managed or fixed under different policy systems.
- Currency changes affect import prices, export competitiveness, debt service and inflation.

EXCHANGE RATE

Foreign price × exchange rate

Currency conversion depends on quotation convention; always label units.

KEY TAKEAWAY

An exchange rate is the price of one currency in terms of another. Currency changes affect import prices, export competitiveness, debt service and inflation.

Application, Practice & Review

WORKED / APPLIED EXAMPLE

If the domestic currency depreciates, imported fuel may become more expensive in local currency, while domestic exports may become cheaper for foreign buyers.

Method: identify the concept → state the mechanism → apply it to the example → conclude.

Practice questions

1. Define appreciation and depreciation.

2. How can depreciation affect imports?

3. Compare fixed and floating exchange rates.

EXAM SKILL

Application: use the situation, data or country context in the question.

Use diagrams and formulas only when they improve the explanation; always label them clearly.

Balance of Payments

LEARNING FOCUS

Recording a country's economic transactions with the rest of the world.

Key concepts

Current account

Capital account

Financial account

Reserves

Core explanation

- The balance of payments records transactions between residents of a country and the rest of the world.
- The current account includes trade in goods and services, income and transfers.
- Financial flows record cross-border investment and borrowing.
- Persistent imbalances can reflect saving-investment patterns, competitiveness, commodity prices and capital flows.

KEY TAKEAWAY

The balance of payments records transactions between residents of a country and the rest of the world. Persistent imbalances can reflect saving-investment patterns, competitiveness, commodity prices and capital flows.

Application, Practice & Review

WORKED / APPLIED EXAMPLE

A country importing more goods than it exports may run a merchandise trade deficit, but the overall balance of payments also includes services and financial flows.

Method: identify the concept → state the mechanism → apply it to the example → conclude.

Practice questions

1. Name the main balance-of-payments sections.

2. What is in the current account?

3. Why can a current-account deficit persist?

EXAM SKILL

Analysis: explain the chain of cause and effect using economic logic.

Use diagrams and formulas only when they improve the explanation; always label them clearly.

Development Economics

LEARNING FOCUS

Understanding development beyond income growth.

Key concepts

Human development

Structural transformation

Institutions

Inclusive growth

Core explanation

- Economic development includes improvements in income, health, education, security, capability and opportunity.
- Structural transformation shifts labour and resources toward more productive activities over time.
- Institutions, infrastructure, human capital and access to finance influence development.
- Inclusive development seeks broad participation in and benefits from economic progress.

KEY TAKEAWAY

Economic development includes improvements in income, health, education, security, capability and opportunity. Inclusive development seeks broad participation in and benefits from economic progress.

Application, Practice & Review

WORKED / APPLIED EXAMPLE

A country can grow rapidly while still facing weak health outcomes or unequal access to education, showing why development is broader than GDP alone.

Method: identify the concept → state the mechanism → apply it to the example → conclude.

Practice questions

1. Distinguish growth from development.

2. What is structural transformation?

3. Name four development factors.

EXAM SKILL

Evaluation: discuss conditions, trade-offs, time horizons or different affected groups.

Use diagrams and formulas only when they improve the explanation; always label them clearly.

Environment and Economics

LEARNING FOCUS

Using economic tools to analyse pollution, resources and sustainability.

Key concepts

Natural capital

Carbon pricing

Resource scarcity

Sustainable development

Core explanation

- Natural capital includes ecosystems and resources that provide services to the economy and society.
- Environmental damage can be treated as an external cost when it is not reflected in market prices.
- Carbon taxes or tradable permits can create incentives to reduce greenhouse-gas emissions.
- Sustainable development balances current well-being with the capacity of future generations to meet their needs.

KEY TAKEAWAY

Natural capital includes ecosystems and resources that provide services to the economy and society. Sustainable development balances current well-being with the capacity of future generations to meet their needs.

Application, Practice & Review

WORKED / APPLIED EXAMPLE

Protecting a watershed can support agriculture, drinking water, hydropower and biodiversity, creating multiple economic benefits.

Method: identify the concept → state the mechanism → apply it to the example → conclude.

Practice questions

1. Define natural capital.

2. How can carbon pricing change incentives?

3. Give one example of ecosystem services.

EXAM SKILL

Definition: begin with a precise economic meaning.

Use diagrams and formulas only when they improve the explanation; always label them clearly.

Business Cycles

LEARNING FOCUS

Understanding expansions, recessions and economic fluctuations.

Key concepts

Expansion

Peak

Recession

Recovery

Core explanation

- Economic activity fluctuates over time around its long-run trend.
- An expansion is a period of rising output and employment; a recession is a significant decline in activity across the economy.
- Investment, credit conditions, external shocks, confidence and policy can influence cycles.
- Stabilization policy aims to reduce severe fluctuations while maintaining long-run sustainability.

KEY TAKEAWAY

Economic activity fluctuates over time around its long-run trend. Stabilization policy aims to reduce severe fluctuations while maintaining long-run sustainability.

Application, Practice & Review

WORKED / APPLIED EXAMPLE

A sharp fall in exports can weaken production and employment in export-dependent sectors, potentially spreading to the wider economy.

Method: identify the concept → state the mechanism → apply it to the example → conclude.

Practice questions

1. Name the phases of a business cycle.

2. Give two causes of recessions.

3. What is stabilization policy?

EXAM SKILL

Application: use the situation, data or country context in the question.

Use diagrams and formulas only when they improve the explanation; always label them clearly.

Economic Policy Evaluation

LEARNING FOCUS

A structured method for comparing policy options and trade-offs.

Key concepts

Objectives

Instruments

Short run vs long run

Unintended effects

Core explanation

- Policy evaluation begins by defining the problem, objective and affected groups.
- Analysts compare expected benefits, costs, distributional effects, feasibility and risks.
- Short-run results may differ from long-run outcomes because behaviour, investment and expectations adjust over time.
- Good evaluation states assumptions and recognizes uncertainty rather than presenting a single forecast as certain.

KEY TAKEAWAY

Policy evaluation begins by defining the problem, objective and affected groups. Good evaluation states assumptions and recognizes uncertainty rather than presenting a single forecast as certain.

Application, Practice & Review

WORKED / APPLIED EXAMPLE

A fuel subsidy may lower prices for consumers in the short run but can be costly to the budget and may encourage higher fuel consumption.

Method: identify the concept → state the mechanism → apply it to the example → conclude.

Practice questions

1. List four elements of policy evaluation.

2. Why distinguish short and long run?

3. Give one example of an unintended effect.

EXAM SKILL

Analysis: explain the chain of cause and effect using economic logic.

Use diagrams and formulas only when they improve the explanation; always label them clearly.

Economics of Madagascar and Developing Economies

LEARNING FOCUS

Applying core economic concepts to a lower-middle-income and island-economy context without relying on temporary statistics.

Key concepts

Agriculture

Informal sector

Infrastructure

Trade vulnerability

Core explanation

- Many developing economies combine modern firms with large informal and agricultural sectors.
- Infrastructure gaps can raise transport, energy and transaction costs, reducing productivity.
- Island economies can face high shipping costs and exposure to imported fuel or food prices.
- Diversification, education, reliable institutions and resilient infrastructure can strengthen long-run development.

KEY TAKEAWAY

Many developing economies combine modern firms with large informal and agricultural sectors. Diversification, education, reliable institutions and resilient infrastructure can strengthen long-run development.

Application, Practice & Review

WORKED / APPLIED EXAMPLE

A remote farming region may produce valuable crops but earn low returns if poor roads raise transport costs and reduce access to buyers.

Method: identify the concept → state the mechanism → apply it to the example → conclude.

Practice questions

1. Explain how infrastructure affects productivity.

2. What is economic diversification?

3. Why may island economies face high trade costs?

EXAM SKILL

Evaluation: discuss conditions, trade-offs, time horizons or different affected groups.

Use diagrams and formulas only when they improve the explanation; always label them clearly.

Revision: Core Economic Reasoning

LEARNING FOCUS

Bringing together scarcity, incentives, markets, macroeconomics and development.

Key concepts

Opportunity cost

Marginal analysis

Elasticity

Evidence-based evaluation

Core explanation

- Economic reasoning asks what choices are available, what they cost, who gains or loses, and how incentives change behaviour.
- Marginal analysis compares additional benefits with additional costs.
- Elasticity helps predict the strength of responses to price, income and policy changes.
- Strong answers combine definitions, diagrams or formulas, application, evidence and balanced evaluation.

KEY TAKEAWAY

Economic reasoning asks what choices are available, what they cost, who gains or loses, and how incentives change behaviour. Strong answers combine definitions, diagrams or formulas, application, evidence and balanced evaluation.

Application, Practice & Review

WORKED / APPLIED EXAMPLE

For any policy question, identify the market or macro mechanism first, then discuss likely effects, affected groups, time horizon and possible limitations.

Method: identify the concept → state the mechanism → apply it to the example → conclude.

Practice questions

1. Define marginal analysis.

2. Why is elasticity useful?

3. Write a four-step structure for an evaluation answer.

EXAM SKILL

Definition: begin with a precise economic meaning.

Use diagrams and formulas only when they improve the explanation; always label them clearly.

Exam-writing Guide

1. Define the command word

Identify whether the task asks you to define, explain, calculate, analyse, compare or evaluate. Match the depth of your answer to the command.

2. Build a logical chain

Use a structure such as cause → mechanism → effect → affected group. Avoid listing disconnected points.

3. Apply the context

Use the product, market, country, policy or data given in the question. Application shows that you understand the economics rather than memorizing definitions.

4. Evaluate carefully

State conditions under which the result may differ. Consider short run versus long run, elasticities, distributional effects, uncertainty and implementation limits.

5. Conclude

A strong conclusion answers the exact question and explains which factors matter most, without simply repeating earlier sentences.

Formula & Graph Guide

Essential formulas

Total revenue

$$TR = P \times Q$$

Profit

$$\text{Profit} = TR - TC$$

Total cost

$$TC = FC + VC$$

Average cost

$$AC = TC / Q$$

Price elasticity

$$PED = \% \Delta Q_d / \% \Delta P$$

Income elasticity

$$YED = \% \Delta Q_d / \% \Delta \text{Income}$$

GDP expenditure

$$Y = C + I + G + (X - M)$$

Unemployment rate

$$\text{Unemployed} / \text{Labour force} \times 100$$

Inflation rate

$$\% \text{ change in price index}$$

Real growth

$$\% \text{ change in real GDP}$$

Budget balance

$$\text{Revenue} - \text{Expenditure}$$

Opportunity cost

$$\text{Output forgone} / \text{output gained}$$

Graph checklist

- Label both axes and units.
- Show curve names clearly: D, S, AD, AS, etc.
- Mark equilibrium price/quantity or output/price level.
- Use arrows for shifts and explain the cause in words.
- Do not claim exact numerical effects unless the question provides enough information.

Economics Glossary

Scarcity

Limited resources relative to wants.

Opportunity cost

Value of the best alternative forgone.

Demand

Quantity consumers are willing and able to buy at different prices.

Supply

Quantity producers are willing and able to sell at different prices.

Elasticity

Responsiveness of one economic variable to another.

Equilibrium

Position where planned demand equals planned supply.

Externality

Effect of an activity on third parties outside the transaction.

Productivity

Output per unit of input.

GDP

Value of final goods and services produced domestically in a period.

Inflation

Sustained rise in the general price level.

Unemployment

People without work who are available for and seeking work under the relevant definition.

Fiscal policy

Government use of spending, taxation and transfers.

Monetary policy

Central-bank actions that influence monetary and financial conditions.

Comparative advantage

Ability to produce at lower opportunity cost.

Exchange rate

Price of one currency in terms of another.

Development

Broad improvement in income, capabilities, health, education and opportunity.

Public good

Good that is non-rival and non-excludable in its pure form.

Market failure

Situation where market allocation does not achieve efficient social outcomes.

Human capital

Skills, knowledge and health embodied in people.

Natural capital

Natural resources and ecosystems that provide economic and social services.

Final Revision Checklist

Foundations

- ☐ Scarcity and opportunity cost
- ☐ Factors of production
- ☐ PPF and economic systems

Microeconomics

- ☐ Demand, supply and equilibrium
- ☐ Elasticities
- ☐ Costs, revenue and market structures
- ☐ Market failure, labour and inequality

Macroeconomics

- ☐ GDP and growth
- ☐ Unemployment and inflation
- ☐ AD/AS
- ☐ Money, banking, monetary and fiscal policy

International & Development

- ☐ Trade and comparative advantage
- ☐ Exchange rates and balance of payments
- ☐ Development, agriculture and industrialization

Final self-test

- Can I define the main terms without notes?
- Can I explain a diagram as a chain of cause and effect?
- Can I calculate and interpret elasticity, GDP components and basic rates?
- Can I compare policy options and discuss trade-offs?
- Can I apply concepts to Madagascar, Africa and global examples without relying on memorized statistics?